

FINLAND 2014

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1. Overview of the tax-benefit system

There exists a three-tier system of unemployment benefits: a basic benefit, earnings related benefit and a means-tested benefit. The earnings related supplement is paid to insured people only; insurance is voluntary. Housing costs are covered through a separate income tested scheme. There is a social assistance scheme which guarantees a minimum income as deemed necessary for every inhabitant of the country. The tax unit is the individual.

1.1. Average worker wage (AW)

The 2014 AW earnings level is EUR 42910¹.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2007-2008, OECD, 2009, part 5, sections 2 and 3.

2. Unemployment insurance

The basic benefit and the earnings related benefit are for the purposes of this study classified as unemployment insurance. The follow-up benefit (Labour Market Subsidy) is classified as unemployment assistance. The basic benefit is funded by the state and employees (share of employees' unemployment insurance contribution paid employees that are not members of unemployment funds). The earnings related scheme is funded by the state, employers, employees and unemployment funds.

Overview of the unemployment insurance scheme (see Chapter 2 for more details):

Program name (local name)		Earnings-related unemployment allowance / Basic unemployment allowance (Ansiosidonnainen työttömyyspäiväraha / Peruspäiväraha)
Insurance is voluntary(V) or compulsory(C) for employees		basic benefit: C; earnings-related benefit: V
Employment record (E) and contribution (C) conditions		E: 26 weeks of work (minimum of 18 hours per week) in last 28 months; C for earnings-related benefit: The employment condition has to be fulfilled while being insured as a member of an unemployment fund.
Waiting period (days)		7
Maximum duration (months)		23 months (500 days, 5 days / week), if the employment record is less than three years earnings-related benefit will be paid only for 19 months (400 workdays).
Up-rating mechanism of the benefit		Basic amount and child increases are adjusted according to prices. Because the amount of earnings related benefit is linked to the basic amount the earnings-related benefit is also adjusted. Adjustments are carried out normally at the beginning of the year
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	basic flat-rate benefit EUR 32.66/day; earnings-related benefit of 45% of daily reference earnings above basic benefit and up to EUR159.50, plus 20% of daily reference earnings excess of EUR 159.50
	benefit at the end of legal entitlement period in % of calculation base	same as initial benefit
	Calculation base(1)	Gross excluding holiday pay less fraction of SSC
	Permitted employment and disregards when receiving unemployment insurance benefit	Adjusted unemployment benefit for taking up part-time or other irregular work with reduced hours: EUR 300/ month disregard, benefit is reduced by 50% of gross earnings above EUR 300, total income (part-time wage + benefit) cannot be higher than 100% of reference earnings.
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + for children under 18
	contract type	0
	other	G: + of earnings-related benefit for workers with long careers for maximum of 90 days E: older workers are entitled to additional days (duration)

Notes:

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

Overview of employment-conditional benefits within the unemployment insurance scheme (see Section 2.2 for more details):

Program name (local name)		Adjusted unemployment benefit (Sovitelty työttömyyspäiväraha)
Type of employment-conditional benefit		Possibility to combine work and benefit reciprocity
Beneficiaries of employment-conditional benefit		Unemployment insurance benefit recipient working part-time or reduced hours
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No separate duration condition but usual maximum duration condition (adjusted benefit days are converted to full benefit days => the amount of full days accumulates more slowly)
	Child-based condition	No
	Influence of number of children on benefit amount	No (but usual child increases included to the full benefit from which the adjusted benefit is calculated)
	Working hour criterion	Yes, may not exceed 80% of full-time hours
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Upgrading mechanism of the benefit		Full benefit: normal adjustments, there is no index adjustment for earnings disregard (EUR 300 / month)
Benefit calculation	Income assessment unit	Gross earnings
	(Maximum) benefit amount	Adjusted unemployment benefit for taking up part-time work: EUR 300/ month disregard, benefit is reduced by 50% of gross earnings above EUR 300, total income (part-time wage + benefit) cannot be higher than 100% of reference earnings.
	Phase-in rate	--
	Phase-out rate	50 % (see above)

2.1 *Conditions for receipt*

Payable to any registered unemployed person, who is between 17 and 64 years old, who is available for and actively seeking full-time work. Persons receiving partial disability pension are entitled to

unemployment benefits even if they are only seeking part-time work. Since 2005 also employees aged 65 to 67 are entitled to allowance during lay-offs (only employees, not for entrepreneurs).

Before 2009 Employment Committees that operated within the employment offices decided on a job applicant's right to an unemployment benefit in certain cases. Since 2009 Employment and Economic Development Offices (former employment offices) decide right to an unemployment benefit in all cases. If the unemployed person, without a justifiable reason, refuses to take on work, which is designated by the employment office and lasts for a maximum of 2 weeks, this results in a 30 day waiting period. If an unemployed person refuses to take on work lasting for more than 2 weeks or declines to enter training that is appropriate for him/her², or if the unemployed person is personally responsible for the fact that no employment agreement is made or if an unemployed person has been in the labour market for less than 6 weeks during the past 6 months without an acceptable reason, the result is a 60-day waiting period.

Unemployed persons bear the obligation of preparing for themselves, together with the employment authorities, a personal job-seeking plan. If the job applicant refuses to take part in preparing a job-seeking plan, he/she will incur a 30-day waiting period. If the person do not attend appointed meeting for drafting job-seeking plan this will result in a 15-day waiting period. After a job-seeking plan has been prepared, refusal to carry out the job-seeking plan also results in a 60-day waiting period.

If the unemployed person resigns from a job without an acceptable reason or is personally responsible for causing termination of the employment contract, this results in a 90-day waiting period. Repeated refusal to take on work or training and reluctance to work can cause a cessation of allowance payments. In such a case, an unemployment allowance is not granted until after three months of work or training.

2.1.1 Employment conditions

26 weeks of work (minimum of 18 hours per week) in the last 28 months. Wage must be according the collective bargaining agreement or if there is no such agreement for the sector, the salary for full-time employment must be at least 1154 euros a month (2014) Note: Current salary limit was introduced 2007 and it is adjusted annually by index (80 % wages and 20 % prices). Before 2007 the corresponding limit was 40 times basic daily allowance.

2.1.2 Contribution conditions

Earnings-related benefit: The employment condition has to be fulfilled while being insured as a member of an unemployment fund. Membership of unemployment fund is voluntary.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Basic benefit: EUR 32.66/day (5 days /week).

Earnings related benefit: Basic benefit; plus 45 per cent of daily reference earnings (DRE) in excess of the basic benefit until EUR 159,50; plus 20 per cent of DRE in excess of EUR 159,50 ($159,50 = 105 * \text{basic benefit} / 21.5$);).

In these calculations, the daily reference earnings are calculated as follows:

² Or has resigned or has been discharged from this kind of training

M = gross earnings in the reference year / 12.5 (monthly earnings are calculated here to exclude additional holiday pay included in the APW, hence the division by 12.5 instead of 12; note that in practice the 34 week period needed to fulfil the employment condition is usually used as reference period, excluding additional holiday pay).

D = M / 21.5 (21.5 working days /month)

DRE = D *95,87 per cent (the deduction is 60 % of sum of employees' pension insurance contribution (under 53 years old), unemployment insurance contribution and earned income contribution for health insurance). This is done in order to avoid "over compensation" since these contributions are paid from wage and salary income but they are not paid on benefit income. Since 2010 deduction has been even formally connected to the level of social insurance contributions. Previously the deduction was set annually by separate decision of the Ministry of Social Affairs and Health

The earnings related benefit is calculated from the basic benefit excluding the child supplement. The child supplement is then added to earnings related benefit.

Child increase is paid if recipient has children who are under 18 years old. If both parents are unemployed, both receive the basic/earnings related allowance and both receive the child increase. Child increase is paid even if parents are divorced and recipient does not live with children ("recipients biological children"). In addition to this increase is payable if recipient is married or cohabiting and the spouse has children e.g. from previous marriage ("recipients non-biological children").

Child supplement (total)	Rate (in EUR per day*)
1 child	5.27
2 children	7.74
3 or more children	9.98

* Monthly/yearly equivalents are obtained using 21.5 days per month, 12 months per year.

Note that if both parents are unemployed, both receive the basic/earnings related allowance and both receive the child supplement.

The earnings-related allowance can be a maximum of 90 per cent of the daily wage, but at least equal to the basic allowance plus any child increases (applies also to previous years, no change in rules, only addition to text).

2.2.2 *Income and earnings disregards*

If an unemployed person begins to work part-time (including irregular work with reduced working time and full-time employment for a period not exceeding two weeks, or earnings from part-time self-employment), the person is entitled to receive a so called adjusted unemployment benefit. The employee may also be entitled to adjusted unemployment benefit for some other reasons (e.g. if employer changes employment from full-time to part-time). The working hours may not exceed 80 per cent of the working hours of full-time work (change 1.1.2012). The unemployment benefit is reduced by 50 per cent of gross income exceeding EUR 300 / month (EUR 300 / month disregard. The maximum amount of combined adjusted benefit (including child supplement) and income from part-time work may not exceed 100 per cent of reference earnings. Since 2010 there has been no maximum period for adjusted unemployment benefit.

Persons working shortened work week with correspondingly reduced wage (less than 80 % of regular working time): If working time has been reduced at least one full day the person is entitled for full

unemployment benefit during lay-off days. The rule is not applied to persons working reduced hours each day even if the reduced working time is less than 80 % of regular working-time. The rule covers only workers and not unemployed people starting to work shortened work week. The rule was first applied as temporary to lay-off days between 4.1.2010 and 1.1.2012. Since 1.1.2012 the rule was introduced as permanent legislation.

2.3 Tax treatment of benefit

Taxable, but of social security contributions only the Health Insurance contribution (for medical care) is levied on the benefits.

2.4 Benefit duration

The maximum payment period is 500 days (5 days /week; 100 weeks) after a 5-day waiting period (see also 2.5.2). If the employment record is less than three years maximum payment period of earnings-related benefit is 400 days (100 days will be paid as basic benefit). 100 days will also be deducted from the maximum payment period earnings-related benefit if recipient refuses to participate in an employment promotion measure or terminates a measure during the first 250 days of allowance payment. If there are several separate spells of unemployment during 500 days period only one 5-day waiting period will be applied.

Since 1.1.2010 return condition has been same as employment condition. Previously: since 1.1.2003 34 weeks (before 1.1.2003 43 weeks) of work during the 24-month period (minimum 18 hours a week) fulfils the employment condition for starting a new 500 days earnings-related period, so called "return condition".

The reference earnings are based on the most recent earnings fulfilling the employment conditions. However, the new earnings related benefit level must be at least 80 per cent of the previous benefit level if the employment condition is fulfilled before the 500 days maximum period is exhausted.

2.5 Treatment of particular groups

2.5.1 Young persons

To get allowance, a person aged 17-24 must apply for vocational training unless he or she already graduated from a vocationally oriented educational institute.

2.5.2 Older workers or workers with long careers

Additional days rule

An unemployment allowance can also be paid after the 500-day maximum period for older workers ("additional days rule").

Persons born in 1950-1954: A person born between 1950 and 1954 can be paid an allowance up to the end of the month when he/she reaches the age of 65 if the person has reached the age of 59 before the 500 days have accrued.

Persons born in 1955-1956: A person born between 1955 and 1956 can be paid an allowance up to the end of the month when he/she reaches the age of 65 if the person has reached the age of 60 before the 500 days have accrued.

Persons born in 1957 or thereafter: A person born in 1957 or thereafter can be paid an allowance up to the end of the month when he/she reaches the age of 65 if the person has reached the age of 61 before the 500 days have accrued.

In addition, in order to qualify for additional days it is required that the person has been in employment with pension entitlement for at least five years during the past 20 years.

Since 1.1.2005 persons receiving allowance after 500 days (i.e. receiving additional days) are entitled to choose old age pension at the age of 62 (pension reduced due to early retirement, pensions schemes not covered here). Since 1.1.2013 the option to choose old age pension at the age of 62 was limited to person born prior to 1958. Those who have chosen old age pension are not entitled to unemployment benefits.

Before 2010 persons receiving unemployment benefit for additional days were entitled to somewhat higher replacement rate if

- if they the claimant had been a member of an unemployment fund for five years
- the claimant had been in employment with pension entitlement for at least 20 years

In these cases the replacement rate in upper income bracket was 32.5 per cent (normally 20 per cent, compare 2.2.1)

The increased rate for additional days was abolished 1.1.2010 (note that simultaneously other changes were introduced that increased benefit rate in upper income brackets recipients of “ordinary” allowance, see 2.2.1).

Increased earnings-related allowance

The earnings-related allowance may be paid as an increased allowance for a maximum of 90 days, if

- recipient has been working for at least 20 years
- recipient has been a member of an unemployment fund for at least five years
- recipients employment has been terminated, and
- recipient has registered with the Employment and Economic Development Office as a jobseeker within 60 days of the termination of your employment.

Earnings-related allowance is also paid as an increased allowance during participation in an employment promotion measure that was agreed with the Employment and Economic Development Office and included in re-employment plan. The increased earnings-related allowance is paid for a maximum of 200 days.

- The increased earnings-related allowance is 65 per cent (normally 45 per cent) of the difference between daily wages (DRE) and the basic allowance. If daily wages (DRE) exceeds upper income limit ($90 * \text{basic benefit} / 21.5$) the increased earnings-related allowance declines to 37,5 per cent (normally 20 per cent) for the part in excess. I.e. the difference in compensation formula are these two percentages (formula: see 2.2.1 above)
- The rule in determining a normal earnings-related unemployment allowance, which says that the earnings-related allowance can be a maximum of 90 per cent of daily wages, does not apply to an increased earnings-related allowance. The increased allowance can be a maximum of the full daily wage (DRE) but nevertheless equal to the increased basic allowance (see below) plus any child increases

The period of unemployment need not continue without interruption, but there may be periods of employment in between. If there are so many periods of employment that a new employment condition is fulfilled, the days entitling to an increased earnings-related allowance are paid from the unemployment allowance calculated on the basis of the new wage or salary income.

Recipients of basic allowance are entitled to increased allowance with similar conditions (excluding the unemployment fund membership). The increase is EUR 4.75 per day (5 days per week).

2.5.3 *Entrepreneurs*

Unemployment benefits are also payable to entrepreneurs fulfilling conditions for receipt (including conditions for discontinuation of business activity). As with employees entrepreneurs have to be members of unemployment funds in order to be entitled to earnings related benefit. There are separate unemployment funds for entrepreneurs. The earnings related scheme for entrepreneurs is funded by the state and insured (entrepreneurs). Specific details of this scheme are not covered here.

2.5.4 *Other groups*

Most services promoting employment also entitle the participant to additional compensation for expenses (before 2013 name was maintenance allowance), which is payable for training agreed with the Employment and Economic Development Office after 1 January 2010. The compensation for expenses is intended for compensating meal and travel expenses. NOTE: The maintenance allowance has been paid since early 1990's. Since 1.1.2010 the coverage of maintenance allowance was extended to several services and studies that previously were not covered.

The compensation for expenses is EUR 9 per day (2004-2009: EUR 8 per day), and the increased compensation for expenses EUR 18 per day. Recipient is entitled to receive increased compensation for expenses if recipient is taking part in services promoting employment outside the travel-to-work area or if recipient has accommodation costs due to participation in a service organised within travel-to-work area. The compensation for expenses is non-taxable income.

The compensation for expenses (EUR 9) and increased compensation for expenses (EUR 18) may be paid for the duration of the following services promoting employment:

- labour market training for adults
- self-motivated study
- preparation for working life
- preparation for job seeking
- self-motivated study for immigrants
- try-out
- rehabilitative work.

Recipients of unemployment assistance benefits (chapter 3) are also entitled to compensation for expenses under similar conditions.

It is possible to receive compensation for expenses and increased allowance simultaneously.

3. Unemployment assistance

Labour Market Subsidy (LMS) is aimed at promoting first time entrants and recipients' re-entry to the labour market.

Overview of the unemployment assistance scheme (see Chapter 3 for more details):

Program name (local name)		Labor market subsidy (Työmarkkinatuki)
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)		For persons who have exhausted UI benefit and to those who enter labour market
Waiting period (days)		5 (in addition 21 week qualifying period for those who do not satisfy employment condition and have not completed vocational training)
Maximum duration (months)		Unlimited
Upgrading mechanism of the benefit		Labour market subsidy and child increases are adjusted according to prices. Adjustments are carried out normally at the beginning of the year
Calculation of unemployment assistance benefit:	initial benefit as % of calculation base	basic flat-rate benefit EUR 32.66/day
	benefit at the end of legal entitlement period in % of calculation base	same as initial benefit
	Calculation base(1)	--
	Permitted employment and disregards when receiving unemployment assistance benefit	Means test suppressed for older recipients fulfilling employment condition, for those in labor market integration measures (see country chapter for greater details); Adjusted benefit for taking up part-time work: EUR 300/month disregard, benefit is reduced by 50% of gross earnings above EUR 300
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + for children under 18
	contract type	0
	other	G: + if participating in a service promoting employment; G: + for older recipients of previous unemployment allowance as no means test applies; G: - partial labour market subsidy for young persons living with their parents (first job).

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

3.1 Conditions for receipt

Payable to any registered unemployed person, who is between 17 and 64 years old, who is available for and actively seeking work. Since 2005 also persons aged 65 to 67 are entitled to allowance during lay-offs.

See 2.1. for conditions for unemployed job-seekers generally (“voluntary” job loss, refusal to take on work designated by the employment office etc.).

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

The maximum Labour Market Subsidy benefit is equal to the basic unemployment allowance (see Section 2.2.1; since 2002 the child supplements are the same as well).

3.2.2 Income and earnings disregards

The income test is suppressed:

For unemployment allowance recipients aged 55 or more, who at the time they became employed satisfied the employment condition (2014: 26 weeks of employment during the preceding 28 months).

During any period in which the recipient participates in measures supporting his/her integration into the labour market that have been arranged by an employment authority.

Until 31st of December 2012 the income-test was applied to the combined monthly gross income of the recipient and the partner. The partner’s income was excluded until EUR 660 per month (2012). Since 1.1.2013 partner’s income has been excluded totally. The disregarded amount equals EUR 1044 per month for a couples and lone-parents or EUR 311 per month for a single plus EUR 130 per month for each dependent child. The LMS benefit is reduced by 50 per cent of the gross income exceeding the disregard, e.g. child allowance, home care allowance, maintenance support and housing allowance are disregarded from the income test. For single person the LMS benefit is reduced by 75 per cent of the gross income exceeding the disregard.

Example of an unemployed person with spouse (earnings EUR 2 200/month after deducting for work related expenses) and two dependent children:

Spouse’s income in income-test	Disregarded
Recipient’s own e.g. capital income	EUR 558/month
Disregard	1 044 + 2*130 = EUR 1 304 /month
Income exceeding disregard	EUR 0 /month
Reduction of LMS	No reduction

Example of for a single person with additional income EUR 558 / month (e.g. capital income):

Disregard	EUR 311 /month
Income exceeding disregard	558 – 311 = EUR 247 /month

Reduction of LMS	$75\% \times 247 = \text{EUR } 172.9 \text{ /month} = \text{EUR } 172.9/21.5 \text{ per day}$ $= \text{EUR } 8.04 \text{ /day}$
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If a recipient of LMS begins to work part-time (including irregular work with reduced working time), the LMS recipient is also entitled to the adjusted LMS. The rules are same as in earnings related unemployment benefit (see section 2.2.2). Note that both the income-test of adjusted benefit due to earnings from part-time work and the usual income-test above are carried out. First the amount of LMS after usual income-test is calculated as in the above examples. Then, the calculated amount of LMS is reduced by earnings from part-time work according to rules of adjusted LMS. Earnings from part-time work are not included in the income-test.

3.3 Tax treatment of benefit

Taxable, but of social security contributions only the Health Insurance contributions (for medical care) are levied on the benefits.

3.4 Benefit duration

Unlimited. There is a five-day waiting period. If there are separate LMS periods the five-day waiting period is applied only once (until the employment condition is satisfied). First-time entrants to the labour market must complete a 5-month (21 week) qualifying period (unless they have recently graduated from a vocationally oriented educational institute).

3.5 Treatment of particular groups

The so called employment bonus is experimented in some municipalities during 2013-2015 (e.g. Helsinki). The long-term recipient of labour market subsidy will retain this benefit for one month while working.

3.5.1 Young persons

Partial labour market subsidy: For first time entrants to the labour market who live with their parents the labour market is reduced. Since 1.7.2003 the reduction depend on income of parents. If parental income exceeds EUR 1781 per month, the labour market subsidy payable is reduced by 50% of the excess. However, partial labour market subsidy is at least 50 per cent of the amount that recipient would have received without any reduction due to parents income (e.g. at least 50 per cent of the amount that recipient would have received after adjustment for own income from part-time work). The EUR 1781 disregard is increased by EUR 106 per month for each dependent child that parents have (aged 0-17).

To get allowance, a person aged 17-24 must apply for vocational training unless he or she already graduated from a vocationally oriented educational institute.

3.5.2 Older workers

Means-testing for previous unemployment allowance recipients aged 55 or more has been suppressed (see section 3.2.2.).

3.5.3 Increased labour market subsidy and compensation for expenses

The recipient is entitled supplement if recipient is taking part in a service promoting employment. The service must be agreed with the Employment and Economic Development Office within the employment plan or comparable plan. The supplement/increase is EUR 4.78 per day (5 days per week).

Additional compensation for expenses during services promoting employment: see 2.5.4

4. Social assistance

Social assistance is a last-resort social benefit. Since 1.1.2008 there has been a single nation-wide basic standard (basic amount, see below). Previously there were two municipality categories.

Overview of the basic Social Assistance policy (see Chapter 4 for more details):

Program name (local name)		Social assistance (Toimeentulotuki)
Age condition for social assistance receipt		No
Legal behavioural requirements	Registration as unemployed(1)	Basic amount may be reduced if 17-64 year old has not registered as unemployed job applicant (exceptions: employed persons and entrepreneurs, students, people not fit to work etc.)
	Participation in integration measures	Basic amount may be reduced if person refuses to participate in activation/integration measures.
	Active job search(1)	If employment authorities have considered job search activity insufficient for receiving unemployment benefit municipal authorities may reduce basic amount (separate decision)
	Work requirement(1)	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	-
	Legal behavioural requirements for adult family members other than the benefit claimant	Behavioural requirements may be applied also to other adult members.
Determination of benefit levels		National
Uprating mechanism of the benefit		Prices. Adjustments are normally carried out at the beginning of the year.
Other supplements to basic benefit (per family)		
Means-test for social assistance	Earnings disregards	Minimum of 20% of net earnings up to EUR 150 per month per family are disregarded
	Benefit withdrawal rate with regard to earned income	100%
	Assets included in means test?	Yes (exceptions)

Reference date for all information is **July 1st 2014**

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	Other benefits included in the means test	All other benefits except for disability allowances, pensioner's care allowance, maternity grant, benefit increases that are paid when on activation measures
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: + for lone parents and minors, but decreasing with number of children
	over time	0
	other	0

Notes:

1. Conditions for healthy working-age individuals.

Overview of employment-conditional benefits within the social assistance scheme (see Section 4.2.2 for more details):

Program name (local name)		Disregard of income from work in social assistance means test (Toimeentulotuen etuoikeutettu ansiotulo)
Type of employment-conditional benefit		Minimum of 20% of net earnings up to EUR 150 per month per family are disregarded
Beneficiaries of employment-conditional benefit		Working social assistance benefit recipient who has income from work
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Uprating mechanism of the benefit		Minimum amount of disregard is uprated by separate decisions
Benefit calculation	Income assessment unit	Net earnings
	(Maximum) benefit amount	20% of net earnings up to EUR 150 per month per family are disregarded
	Phase-in rate	--See above
	Phase-out rate	--

4.1 Conditions for receipt

It is paid by the local municipality on personal application conditional on passing a means-test. The need for social assistance is judged each time case by case. For a person or a family that applies for social assistance a judgement and a calculation is made by local social welfare staff based on their available income, available assets and factual expenditure entitling to social assistance. Expenditure that gives entitlement to social assistance consists of a basic amount plus an additional amount to cover outgoings which are assessed separately. If this combined amount is higher than the family's available net income, the difference is paid in the form of social assistance. The basic amount is designed to cover the costs of food, clothes, hygiene, transport, information (newspaper, telephone) and minor, everyday health care costs. If housing costs are considered as reasonable they are covered by additional allowance (7 per cent deductible was abolished 1.9.2006). I.e. reasonable housing costs may be covered completely by additional allowance. Other expenditure items that are covered by additional allowance are home insurance, home electricity, children's day care fees and significant health care costs (pharmaceuticals, fees of health centres, doctors or dentists, cost of spectacles).

Since 2006 expenses entitling to additional allowance are divided into "other basic expenses" (not covered by basic amount), and expenses entitling to "supplementary social assistance". The "other basic expenses" include housing costs, home insurance, home electricity and larger health care costs. Expenses entitling to "supplementary social assistance" relate to particular needs and situations of the applicant as stipulated by law. This division is mainly for the shared funding of social assistance by the municipalities and the central government. The central government transfers to municipalities are 50 per cent of the expenditure on basic expenses of social assistance (i.e. basic amount + "other basic expenses"). "Supplementary social assistance" is covered partly by general central government transfers to municipalities for social and health care. These general transfers are computational and are not based on actual expenditure of individual municipality. In 2013 30.96% of the computational costs were covered by central government transfers to local government.

Usually all net income is included into the means-test with specific exceptions stipulated in law (see 4.2.2). Taxes are deducted from the gross income. Available assets are also included into the means-test. There is no asset threshold, but a small part of savings may be disregarded in order to enhance the self-sufficient living of families. Some assets are also excluded from the means-test. These include dwelling if occupied by recipients, furniture, tools for work or studies, etc. The possibility to realise property/assets should also be considered in the means-test.

In most cases household receiving social assistance have other income sources during the reciprocity period and social assistance is often paid to top-up other benefits. In November 2013 only 9 per cent of households on social assistance had no other available income. 41 cent had received labour market subsidy or basic unemployment benefit and 70 per cent had received housing allowance. A typical top-up case is a single long-term unemployed person receiving insufficient primary benefits like labour market subsidy (net of taxes), housing allowance and social assistance. Wage-earning and simultaneous receipt of SA is deemed marginal and relates to transitory situations.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Basic amounts:

Family size	Rate ((in EUR per month)	Per cent of single rate
Single	480.20	100
Lone parent	528.22	110
Couple (per person)	408.17	85
Allowance per child		
Child over 18*	350.55	73
Child 10-17	336.14	70
Child under 10	302.53	63

* Children aged 18 or over, living with their parents constitute their own household when social assistance is calculated (separate means-test).

If there is more than one child (0 – 17) in families the rates will be reduced. The rate of the second child will be 5 percentage points lower (e.g. 70 → 65 per cent or 63 → 58 per cent of single rate) the rate of the third and subsequent child will be 10 percentage points lower (e.g. 70 → 60 or 63 → 53).

In addition to these basic amounts for “everyday living costs”, additional social assistance is granted to cover reasonable housing costs or other costs (such as health care, work-related expenses). See above.

The amount of social assistance may be reduced by maximal 20 per cent if person refuses to accept a work offer or does not participate in training or certain other activating or integration measures. Maximal one-time length of reduction is 2 months. Since 1.1.2011 the social assistance may also be reduced if 18-24 year old person without vocational education refuses to participate in education or drops out from education. If refusal is recurrent social assistance may be reduced by maximal 40 per cent. If social assistance is reduced authorities must, if possible, in co-operation with the recipient, to devise a plan to enhance self-sufficient living of the recipient.

That part of the rent or housing expenditure that is judged to exceed the upper limit for reasonable housing costs in social assistance is not covered. The municipalities can use their own discretion in setting the upper limit for reasonable housing costs in social assistance. Social assistance accepts often higher housing costs than housing allowances due to the last-resort and temporary nature of the benefit. In OECD calculations (non-binding) guidelines used by the city of Helsinki have been used (see appendix 2).³ Guidelines are only general and apply to rental housing and the needs of the family; in some cases even higher cost may be covered (for instance child welfare needs). Note that upper limits presented in the appendix 2 apply only to rent. Reasonable utility charges (e.g. water), household electricity and home insurance will be covered separately. The limits of reasonable housing costs accepted by social assistance are generally considerably higher in Helsinki and in other municipalities of capital area than in other parts of Finland. Using guidelines of Helsinki will thus give significantly more generous picture of social assistance than using the guidelines of some other municipality (cf. assumptions of housing allowance

³ There was a change in the methodology of the OECD calculations from 2008 onwards. Prior to 2008 all housing costs were covered in OECD calculations when social assistance was calculated. According to law municipalities have all the time (since 1982) used their own discretion how high housing costs are covered.

below). Less than one in five (17 %) of all Finnish municipalities accept actual real housing costs as eligible for social assistance. If social assistance is needed for a lengthy period, the client is obliged to seek more economical accommodation.

To calculate the final social assistance benefit amount, the procedure is to compare the net income and available assets from all other sources (including regular housing benefits) to this level. If net income and available assets are below the social assistance level then the actual social assistance that is payable is the difference between the social assistance level and the net income and available assets.

Social assistance can be paid to supplement (top-up) other benefits and other income sources (e.g wage and salary). Most of the recipient households of social assistance have other income sources which social assistance “tops-up”. One typical top-up case is single long-term unemployed receiving labour market subsidy (net of taxes), housing allowance and social assistance

4.2.2 *Income and earnings disregards*

Social assistance: Since April 2005 a minimum of 20% of net earnings up to the maximum amount EUR 150 (/month /family) have been excluded from the income-testing. The law was amended permanently to cover all persons earning income in the family from 1.1.2015 (i.e. /month/individual). Otherwise there are no disregards except for those stipulated by law (see below). Municipalities may disregard some earnings if they are considered to promote the independence of the recipient.

Following cash benefits are disregarded from the income-testing:

- Disability allowance
- Child disability allowance
- Pensioner’s care allowance
- Maternity grant
- Since 1st of January 2013 the increased part of unemployment benefits paid during activation measures is excluded from the income-test of social assistance.
- Compensation for expenses paid during the labour market training, rehabilitation or rehabilitating work experience.

4.3 *Tax treatment of benefit*

Not taxable.

4.4 *Benefit duration*

As long as the means-test is satisfied.

4.5 *Treatment of particular groups*

4.5.1 *Young persons*

See section 4.2.1.

4.5.2 *Older workers*

None.

5. Housing benefits

There are three income-tested schemes:

- A general housing allowance available to families, couples and single people of limited means.
- A housing allowance for pensioners (not considered).
- An allowance scheme for students (not considered).

Overview of housing benefits (for greater detail refer to Chapter 5):

Regular housing benefits	Program name (local name)		General Housing Allowance (Yleinen asumistuki)
	Entitlement depends on	Household type/size	Yes.
		Income	Yes.
		Dwelling size	Yes.
		Geographic location	Yes.
		Actual rental cost	Yes.
	Description of regular housing benefit		80% of (limited) rent above a "deductible amount"; available to families, couples and single people of limited means
	Uprating mechanism of the benefit		Separate decisions but normally carried out at the beginning of each year
Housing related support through other benefits			Housing costs covered by social assistance; housing allowance schemes for pensioners and students

5.1 Conditions for receipt

Income-tested.

Eligibility for the housing allowance is reviewed once a year. Special eligibility reviews are conducted in the following events:

- the household's regular monthly income increases by €300 (€160 in 2002-2004) or decreases by €160 a month or more, or monthly housing costs change by €50 or more)
- the household moves
- the number of household members changes
- ownership of the dwelling changes
- a subtenant moves in or out
- a member of the household becomes eligible for the student's housing supplement or becomes ineligible for the general housing allowance
- a member of the household becomes eligible for the pensioners' housing allowance.
- The special review is conducted at the beginning of the month following a change in circumstances. The regular annual review will then be conducted one year after the special review.

Since 1.3.2006 the income test (income review) due to an increase in income has been suppressed for three months for re-employed persons who have been receiving labour market subsidy or basic unemployment allowance continuously for 12 months or more. The three months suppressed income review period was temporarily extended to six months (1.1.2013 - 31.12.2015)

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

The housing benefit is limited to certain income bands that vary with the number of persons in the household and with the geographical location. The general housing allowance is 80 per cent of the difference between the rent and a so-called “deductible amount”. The deductible amount is determined by the family type and the geographical location and increases with small steps as gross income increases (there are several income brackets for each family type and area). The incomes are rounded to the nearest full euro before the income test. The 2014 deductible amounts for Helsinki (I municipality group since 2002) and Espoo, Kauniainen and Vantaa (together II municipality group since 2002) are presented in appendix 1.

In housing allowance only full euros of income are finally taken into account in the income-test. E.g. if total household income from all income sources included in the income-test is € 1065.79 then only € 1065 is taken into account in income-test.

There are upper limits for the rents (housing costs) that are covered by the housing costs. In some areas these limits may in practice be below the market rate.

The calculation of maximum housing costs is rather complicated. There is a maximum area of the dwelling for each household size:

Persons	Maximum area, m²
1	37
2	57
3	77
4	90
5	105
6	115
7	125
8	135

Then there are limits for maximum housing costs per m². These limits depend on the municipality group, age and size of the dwelling and for some other criterion that are not important here. Below are the limits for the Helsinki (first municipality group since 2002).

Reference date for all information is **July 1st 2014**

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Maximum housing costs per m2 in 2014, Helsinki (I municipality group)

	Age of dwelling		
Size of dwelling, m2	–1985	1986–95	1996 -
-25,9	15,05	15,88	16,38
26-30,9	14,21	15,03	15,54
31-35,9	13,37	14,19	14,70
36-45,9	12,6	13,71	14,21
46-60,9	12,13	13,4	13,91
61-80,9	11,89	12,97	13,47
81-	11,81	12,88	13,39

Example: the assumption concerning housing costs is that they are 20 per cent of the AW for all family types. For Finland 2014 this is equivalent of housing cost of EUR 715 per month (= 20% * 42910 / 12). For a single person living in a 35m² dwelling in Helsinki, in a house which was built in 2000, the maximum amount is 35 * 14.70 = EUR 514.50, which is clearly below EUR 715. Result: the costs above 514.50 are ignored when the housing allowance is calculated.

For the purpose of this study the table below is used to calculate the maximum housing cost:

Maximum housing cost per month

Number of persons in the household	Maximum housing cost
1	35*14.70
2	55*13.91
3	75*13.47
4	85*13.39
5	100*13.39
6	110*13.39

Smallest amount payable: If the allowance after income test is less than EUR 16.81 per month allowance is not paid (no change in rules just addition to the description, the limit has been same since early 1990's, FIM 100 before 2002).

5.2.2 *Income and earnings disregards*

There is a special EUR 90 per month disregard for lone parents with one child. If there are more than eight person in a household EUR 260 is deducted from the monthly gross income for each person above eight person (applies also to previous years, no change in rules, only addition to text). Earnings, unemployment benefits and home care allowance are taken into the income-test; child allowance and maintenance support are disregarded. 15 per cent of the assets above certain thresholds are considered as income. This amount is divided by 12 to get monthly income. The thresholds vary with family size.

5.3 *Tax treatment of benefit*

Not taxable.

5.4 *Treatment of particular groups*

Students and pensioners have special housing allowances.

5.5 *Eligibility review (addition; applies also to previous years)*

Eligibility for the housing allowance is reviewed once a year. Special eligibility reviews are conducted in the following events:

- the household's regular monthly income increases by €300 (€160 in 2002-2004) or decreases by €160 a month or more, or monthly housing costs change by €50 or more)
- the household moves
- the number of household members changes
- ownership of the dwelling changes
- a subtenant moves in or out
- a member of the household becomes eligible for the student's housing supplement or becomes ineligible for the general housing allowance
- a member of the household becomes eligible for the pensioners' housing allowance.
- The special review is conducted at the beginning of the month following a change in circumstances. The regular annual review will then be conducted one year after the special review.

Since 1.3.2006 the income test (income review) due to an increase in income has been suppressed for three months for re-employed persons who have been receiving labour market subsidy or basic unemployment allowance continuously for 12 months or more. Since 1st of January the period of suppressed means-test of housing allowance was extended from 3 to 6 months.

6. Family benefits

Overview of family and lone parent benefits (for greater detail refer to Chapters 6 and 8):

Program name (local name)			Child benefit(Lapsilisä)	Single-parent supplement to child benefit (Lapsilisän yksinhuoltajakorotus)	Child Maintenance Allowance (Elatustuki)
Type of benefit			universal	universal	universal
Eligibility criteria	Age limits for children (in parentheses if student)		under 17	under 17	under 18
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		none	none	parent liable for child support has not paid mandated child support payments or the child has been adopted by a single parent or the paternity of a child born out of wedlock has not been confirmed
Uprating mechanism of the benefit			CPI adjusted annually on January 1st; paused 2013 - 2015	CPI adjusted annually on January 1st; paused 2013 - 2015	CPI adjusted annually on January 1st;
Benefit amount	Benefit amount per child varies with (where +: increase; -: decrease; 0: no change; +/-: decrease or increase)(1)	Age of child	0	0	0
		Number of children	+	0	0
Means test	Earnings part of means test?		--	--	--
	Earnings disregard		--	--	--
	Withdrawal rate of the benefit		--	--	--
	Assets part of means test?		--	--	--

Notes:

1. +: increase; -: decrease; 0: no change; +/-: decrease or increase "+/-": increases or decreases apply to countries that give higher rates to the youngest and oldest age groups.

6.1 Conditions for receipt

Child Benefit is paid for children under 17 who are living in Finland. Its amount depends on the number of eligible children in the household. Single parents get a supplement for each child

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Rates of child benefit since 1.1.2012	
	Rate per child (in EUR per month)
1st child	104.19
2nd child	115.13
3rd child	146.91
4th child	168.27
5th and subsequent	189.63

Since 1.3.2011 rates will be adjusted annually by index (100 % prices). This will be normally carried out 1st of January. The index adjustment of child benefit are suppressed 2013-2015.

6.2.2 Income and earnings disregards

Universal, not means-tested.

6.3 Tax treatment of benefit

Not taxable.

6.4 Treatment of particular groups

6.4.1 Young persons

6.4.2 Older workers

6.4.3 Others if applicable

Lone parents: Additional allowance of EUR 48.55 per child per month.

7. Childcare for pre-school children

Parents can choose to place their child in a day-care centre run by the municipality, look after the child themselves with the help of the child home care allowance, or choose the private day care allowance and arrange for child care privately. The parents of all children under official school age (7 years) have the right to a place in day care for their child provided by their local authority. Day care is provided as part-time and full-time care. Also day care around the clock is arranged when needed. Day care can also be organized for children of school age but mostly school-aged children participate in after-school activities. Public day care may be organized through day care centres or as municipal family day care

Child care arrangements vary considerably according to the age of the child. In 2012 41 per cent of all 1-2 year old children were in day care. 74 per cent of all the 3-5 year old children were in day care. Majority of children in day care use municipal day care (92 per cent) (municipal day care centre or municipal family day care). Almost all six-year-old children take part in pre-school education. 71 per cent of the pre-school aged children also attend day care.

Day care fees cover only a small part of the total costs of municipal day care (about 14% in year 2012).

7.1 Out-of-pocket childcare fees paid by parents

The public day care fees are income related; the higher the family income, the higher the fee. The fee is a portion (percentage value) of the family income exceeding the income limit until the maximum amount is reached. These limits and percentages depend on family size. In addition to parents children under 18 are included in the family definition.. The amounts and income limits were revised 1.8.2012 according to indexation rules. According to the rules the revision is made every two years. The next revision will take place 1.8.2014.

All the amounts in the following table are monthly: The grounds for public day care fees 1.8.2012 - 31.7.2014

<i>Family size, persons</i>	<i>Income limit, in EUR per month</i>	<i>Per cent of income exceeding the limit</i>
2	1278	11.5
3	1576	9.4
4	1871	7.9
5	1996	7.9
6	2121	7.9

If the family size is over six persons EUR 125 is added to income limit for each additional person.

If there are more than two children in the same family in the public day care, the fees of the third and subsequent children are 20 per cent of the fee for the first child. The maximum fee for the first (the youngest) child is EUR 264 /child /month. For the second child the maximum fee is EUR 238 /child /month. If the day care fee of a child amounts to less than EUR 24 it is not paid.

Example (with rates applicable 1.8.2010-31.7.2012): A couple with three children all in day care. Gross income EUR 6000 /month. Family type is 5 => $(6000 - 1996) * 7.9 \% = 316.32$. Fee for the first child : $\min(316.32, 264) = 264$ €/month. Fee for the second child: $\min(316.32, 238) = 238$ €/month. Fee for third child: $20\% * 264 = 52.80$ €/month

If the child is in the day care for five hours or less per day then the day care is classified as part-time care and fees should be adjusted accordingly. There are no strict rules for this, but 60 percent of the fee for the full-time care is the current estimate of the average adjustment. The fees for the third and subsequent child are calculated in relation to the full-time equivalent fee of the first child even if the first child only uses part-time care.

Income definition in the income-test of the day care: All income (gross) except certain benefits and grants. Of the benefits that are disregarded child allowance, home care allowance, housing allowance and social assistance are relevant here. If family pays maintenance payment to other household this is deducted from the income. Note that both maintenance support and received maintenance payment are included in income.

7.2 Child-care benefits

7.2.1 Conditions for receipt

For families with children under three years old who do not use public day care, there is a home care allowance, which includes a care allowance and a care supplement. In addition to the home care allowance, there is private day care allowance for those who use private day care for children under 7 years old.. Since 1.4.2007 it has been possible for family to receive private day care allowance and home care allowance simultaneously (i.e. private day care allowance for a child in private care and home care allowance for another child not using public day care or private day care).

7.2.2 Calculation of benefit amount

The home care allowance is EUR 341.06 per month for the first child under three years old, EUR 102.11 per month for other children under three years old and EUR 65.61 per month for children between three and six years old (i.e. under school age). Home care supplement is income-tested. The maximum amount is EUR 182.52.

per month and it is payable for only one child. Since 1.3.2011 rates have been adjusted annually by index (100 % prices). This will be normally carried out 1st of January. The price indexation does not cover income limits.

When the family type is determined, only children entitled to day care are included with maximum of two children (i.e. children under school age after the parenthood period of parents irrespective of their actual use of day care). The home care supplement decreases as the income exceeding income limit increases. There is no similar income disregard for additional children as with day care fees. Otherwise the definition of income is similar with day care fees with same benefits disregarded.

The home care allowance supplement 2013

Family size (parents + children < 7, max 2)	Income limit (in EUR per month)	Reduction of care supplement, per cent of income exceeding income limit
2	1 160	11.5
3	1 430	9.4
4	1 700	7.9

Private day care allowance can be claimed by a family whose under-school-age child is looked after by a nanny hired by the family or by a private day care provider. The rates and rules of private day care allowance are somewhat different from home care allowance. The private day care allowance consists of a basic allowance and an income-tested supplement, which both are paid for each eligible child. The basic

allowance is EUR 173.64 /child /month and the supplement is at most EUR 146.02 /child /month. Note that unlike in home care allowance the supplement is paid for each child entitled to private day care allowance. The income criteria and limits of supplement are the same as those that apply to home care allowance care supplement.

If the child attends a part-time pre-school arranged by the municipality one year before starting school, or if the child starts school one year early (at age 6), or if the child is within the extended compulsory education system and in his/her first year of school, the private day care allowance is paid at a rate of €63.06 per child/month, and the amount of the care supplement is halved from its normal rate.

The private day care allowance is paid directly to service provider and is also taxed as the income of the service provider. The allowance is not paid if a relative or some other individual looks after the child without a formal employment contract or charges no fee for his/her services. However, if the child is under three years old, the parents can apply for child home care allowance. Since 1.3.2011 rates have been adjusted annually by index (100 % prices). This will be normally carried out 1st of January.

Some municipalities, especially in the metropolitan area, pay additional supplements to home care and private day care allowances. The rates and eligibility rules vary.

The rates of municipal Helsinki supplement for home care allowance in 2014 (since 1.3.2011):

- 264.00 €/month if there is a child under 1½ years old in family
- 218.64 €/month under 2 years old
- 134.55 €/month 2 years old (but under 3 years).

The municipal Helsinki supplement for home care allowance is paid for the family, i.e. only for the youngest child.

The rates of municipal Helsinki supplement for private day care allowance in 2014 (until 30.7.2014, 1.8.2014 all amounts in the table below were increased by EUR 10/month).

		€/month
IPDC	under 3 years old	490
IPDC	3 years old or older	320
PFDC	under 3 years old	290
PFDC	3 years old or older	150
CMLC	under 3 years old	490
CMLC	3 years old or older	150

IPDC = Institutional private day care

PFDC = Private family day care

CMLC = Day care by childminder with labor contract

The private day care Helsinki supplement is paid for each child. The supplement is paid only for full-time care (25 hours or more per week). There is additional supplement of 60 €/family for those families who receive income-tested private day care allowance supplement.

7.2.3 *Income and earnings disregards*

In home care allowance and private day care allowance there are no similar income disregards for additional children as with day care fees. Otherwise the definition of income is similar with day care fees with same benefits disregarded.

7.3 *Tax treatment of benefit and interaction with other benefits*

Child home-care allowance is taxable income. The private day care allowance is taxed as the income of the provider of the day care services. If the recipient of home care allowance is not personally taking care of the child and the spouse receives unemployment benefit the home care allowance is deducted from the unemployment benefit. If the recipient of home care allowance is personally taking care of the child the allowance is not deducted from the spouses unemployment benefit.

7.4 *Benefit duration*

As long as the conditions are satisfied.

7.5 *Treatment of particular groups*

See 11 for flexible and partial care allowances.

The care of a disabled or chronically ill child can involve additional expense and often requires families to make special arrangements. To support care at home, eligible children who are aged 16 or less and live in Finland are entitled to child disability allowance. The allowance is paid without regard to the parents' or the child's income or assets. It is free from tax and payable at three rates depending on the need of care and rehabilitation and the economic burden related to this. In 2014 the rates were EUR92.88, 216.73 and 420.26 month.

Special care allowance is payable to parents who take part in treatment or rehabilitation arranged for their child. Special care allowance is generally payable only for maximum of 60 days for per child in a calendar year.

8. Employment-conditional benefits

Low income earners in Finland are eligible for an earned income allowance. See section 10.1.2.

9. Lone-parent benefits

Lone parents receive an additional supplement to child benefit (see section 6). Also a child of lone-parent receives maintenance allowance when the person liable to pay maintenance payment neglects this duty. A child is entitled to maintenance allowance even when the paternity has not been confirmed. The maintenance support is EUR 153.63 /child /month in 2014. Since 1999 the rate has been the same also for remarried providers. There is no means-test. The maintenance support is not taxable. Since 1.1.2012 the basic amount of social assistance for lone-parents has been 10 per cent higher than for single persons. See 4.2.1.2

10. Tax system

It consists of a central government tax, a local government tax and social security contributions.

10.1 Personal Income Tax Systems

10.1.1. Central government income taxes

Tax unit

Spouses are taxed separately for earned income.

Standard tax allowances

Standard tax allowances.

Work-related expenses: a standard deduction for work-related expenses equal to the amount of wage or salary, with a maximum amount of EUR 620 is granted.

Rate schedule

Central government income tax.

Taxable income (EUR)	Tax on lower limit (EUR)	Tax on excess income in bracket (%)
16 300 – 24 300	8	6.5
24 300 – 39 700	528	17.5
39 700 – 71 400	3 223	21.5
71 400 – 100 000	10 038.50	29.75
100 000 and above	18 547	31.75

Tax credit

An earned income tax credit is granted against the central government income tax. If the credit exceeds the amount of central government income tax, the excess credit is deductible from the municipal income tax and the health insurance contribution for medical care. The credit is calculated on the basis of taxpayers' income from work. The credit amounts to 7.4 per cent of income exceeding EUR 2 500, until it reaches its maximum of EUR 1010. The amount of the credit is reduced by 1.15 per cent of the earned income (earned income = non-capital income including also pensions, daily allowances) minus work related expenses exceeding EUR 33 000. The credit is fully phased out when taxpayers' income is about EUR 120 000.

Broadcasting Tax

In January 2013 a new public broadcasting tax was introduced to finance the activity of the national public service broadcasting company. The tax is 0.68 per cent on taxable earned income, taxes of minimum EUR 51 and maximum EUR 143 will be collected in 2014.

10.1.2. Local income tax

Tax base and tax rates

The tax base of the local income tax is taxable income as established for the income tax levied by central government.

Municipal tax is levied at flat rates. In 2014 the tax rate varies between 16.5 and 22.0 per cent, the average rate being approximately 19.74 per cent.

Municipal tax is not deductible against central government taxes. Work-related expenses and other non-standard deductions are deductible, as for purposes of the central government income tax.

Allowances in municipal income taxation

- An earned income allowance is calculated on the basis of taxpayer's income from work (income from work= wages and salaries and non-capital entrepreneurial income). The allowance amounts to 51 per cent of income between EUR 2 500 and EUR 7 230, and 28 per cent of the income exceeding EUR 7 230, until it reaches its maximum of EUR 3 570. The amount of the allowance is reduced by 4.5 per cent on earned income minus work related expenses exceeding EUR 14 000 (earned income = non-capital income including also pensions, daily allowances).
- A basic allowance is granted on the basis of taxable income remaining after the other allowances have been subtracted. The maximum amount, EUR 2 930, is reduced by 19 per cent on income exceeding the aforementioned amount.

10.2. ***Compulsory Social Security Contributions to Schemes Operated within the Government Sector***

10.2.1. *Employees' contributions*

Rate and ceiling

The financing of the National Health Insurance underwent a major change on 1 January 2006 with the splitting up of the scheme into two components: earned income insurance and medical care insurance.

The contribution base of the earned income contribution for health insurance (for daily allowance) is gross earnings. In 2014 the rate is 0.84 per cent of gross wage (different rules for entrepreneurial income). This contribution is deductible in taxation (cf. employees' pension insurance and unemployment insurance contributions below).

The tax base for the health insurance contribution for medical care insurance is net taxable income for municipal income tax purposes. In 2014, the rate of the health insurance contribution for medical care insurance is 1.32 per cent. There is additional 0.17 per cent contribution for those incomes that earned income contribution for health insurance is not payable (e.g. pensions, daily allowances). The income base for additional contribution is the difference between taxable income for municipal income tax purposes and earnings for earned income contribution for health insurance (i.e. gross wage here). If earnings for earned income contribution for health insurance are higher than taxable income for municipal income tax purposes then there is no additional contribution.

There are also an employees' pension insurance contribution and an employees' unemployment insurance contribution. Employees' pension insurance contribution which amounts to 5.55 per cent of gross salary

for those who are under 53 years old (- 52) and 7.05 per cent for those who are 53 years old or more (53+). Employees' unemployment insurance contribution equals to 0.5 per cent of gross salary. These contributions are deductible for income tax purposes.

10.2.1. Employers' contributions

The average rate of the employers' social insurance contributions in 2013 is 22.8 per cent of gross wage.

11. Part-time work

11.1 Special benefit rules for part-time work

See section 2.2.2 (adjusted unemployment benefit).

Flexible care allowance for parents of children under 3

A father or mother who participates in the care of a child under 3 years of age and works no more than 30 hours per week on average may be entitled to a flexible care allowance.

Eligibility

The flexible care allowance can be paid to

- the father, mother or other provider of a child under 3 years of age (this also applies to adoptive and same-sex parents)
- both parents at the same time if they make work arrangements that allow them to look after the child at different times (e.g. one parent on Mondays and the other on Fridays).
- a parent who does not live in the same household as the child.

The flexible care allowance can be paid to a parent who

- works no more than 30 hours per week on average or no more than 80% of normal full-time hours
- has an employment contract with a public- or private-sector employer
- is self-employed or a farmer insured under the YEL (Self-Employed Persons') or MYEL (Farmers') Pensions Acts.
- is a grant recipient and insured under the MYEL Act.

The flexible care allowance cannot be paid to a parent who

- is paid special maternity, maternity, paternity or parental allowance
- looks after the child personally and is paid home care allowance

It is possible to use public day care or receive private day care allowance simultaneously with flexible care allowance.

The amount of the flexible care allowance is (2014)

- 243,14 euros per month if the recipient works no more than 22.5 hours per week or no more than 60% of normal full-time hours
- 162,09 euros per month if the recipient works more than 22.5 hours or more than 60% but no more than 80% of normal full-time hours.

Reference date for all information is **July 1st 2014**

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Parents of first- and second-graders (usually 7-8 years old) are entitled to partial Care Allowance. The allowance amounts to EUR 97.67 per month (2014).

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2013 – 1st July 2014

Unemployment benefits were revised and simplified from the 1st of January 2014. Number of increased levels of earnings-related benefit was reduced. The maximum duration of earnings-related unemployment benefit was reduced for those with short employment histories and for those who refuse to participate in an employment promotion measure. Employment condition was reduced to 26 weeks (currently 34 weeks). The age limit for the additional days (see 2.5.2) was raised. Disregard of EUR 300/month was introduced to income-test of adjusted benefit. The maximum amount of combined earnings-related adjusted benefit (including child supplement) and income from part-time work was increased to 100 per cent of reference earnings.

New flexible care allowance was introduced as 1st of January 2014. The allowance is payable for parents who work reduced hours and have children under three years old. The flexible care allowance replaced partial care allowance for parents with children under three years old. Partial care allowance remained unchanged for parents of first- and second-graders. The aim of the reform is to increase combination of part-time work and part-time benefit instead of full withdrawal from paid employment.

12.2 Future policy changes announced since 1st July 2014⁴

Index adjustments of several benefits were reduced (0.4 % instead of 1.1%). An exception was social assistance with full 1.1 percent increase.

Earnings-related unemployment benefits were revised from the 1st of January 2015. The upper limit for 45 percent replacement rate of earnings-related benefit was lowered. Increased rates of earnings-related benefit were lowered. Unemployed persons have to accept job offers outside 80 km commuting area as long as daily commuting time is 3 hours or less (additional conditions).

Child benefits were cut by 8.1 percent from the 1st of January 2015. New child deduction in taxation was introduced. The deduction will be made from taxes and the amount of deduction will decrease with higher incomes. The child deduction will be in force 2015-2017.

An amendment of Basic Education Act came into force 1st January 2015. Attendance at pre-primary education of 6-year-old children was made obligatory from 1st of August 2015

Full revision of housing allowance was introduced from the 1st of January 2015. Rules were simplified and separate tables of basic deductible amounts were replaced by linear means-test. EUR 300/month disregard will be applied to income from work in the means-test from the 1st of September 2015.

The maximum disregard of income from work in social assistance was individualized from the 1st of January 2015. Simultaneously the disregard was introduced as permanent legislation.

⁴ Some of the changes that are presented here may not have been ratified and their reading in Parliament may be unfinished or not even started.

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Since 1.1.2017 the administration of basic allowance of social assistance will be transferred to Social Insurance Institution (SII/Kela). Municipalities will still administer supplementary and preventive social assistance. There will be some changes in expenses included basic allowance of social assistance. The funding of social assistance will remain unchanged.

Appendix 1. Housing Allowances Deductibles

The 2014 deductible amounts of housing allowance for Helsinki (I municipality group) and Espoo, Kauniainen and Vantaa (together II municipality group)

Upper limit of the income bracket, EUR/month	Household size							
	1	2	3	4	5	6	7	8+
705	0	0	0	0	0	0	0	0
720	13	0	0	0	0	0	0	0
735	21	0	0	0	0	0	0	0
750	29	0	0	0	0	0	0	0
765	37	0	0	0	0	0	0	0
780	45	13	0	0	0	0	0	0
795	53	21	0	0	0	0	0	0
810	58	29	0	0	0	0	0	0
825	64	35	0	0	0	0	0	0
840	69	40	0	0	0	0	0	0
855	75	45	0	0	0	0	0	0
870	81	51	0	0	0	0	0	0
885	86	56	0	0	0	0	0	0
900	92	61	0	0	0	0	0	0
915	98	67	0	0	0	0	0	0
930	104	72	13	0	0	0	0	0
945	109	77	23	0	0	0	0	0
960	115	83	33	0	0	0	0	0
975	121	88	38	0	0	0	0	0
990	126	94	42	0	0	0	0	0
1005	132	99	47	0	0	0	0	0
1020	138	104	52	0	0	0	0	0
1035	144	110	56	0	0	0	0	0
1050	149	115	61	13	0	0	0	0
1065	155	120	66	22	0	0	0	0
1080	161	126	70	27	0	0	0	0
1095	167	131	75	31	0	0	0	0
1110	172	137	80	36	0	0	0	0
1125	178	142	84	40	0	0	0	0
1140	184	148	89	45	0	0	0	0
1155	189	153	94	50	0	0	0	0
1170	195	159	98	54	0	0	0	0
1185	201	164	103	59	0	0	0	0
1200	207	170	108	63	0	0	0	0
1215	212	176	113	68	0	0	0	0
1230	218	181	117	72	0	0	0	0
1245	224	187	122	77	0	0	0	0
1260	229	193	127	81	0	0	0	0
1275	235	198	131	86	13	0	0	0
1290	241	204	136	91	22	0	0	0

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1305	247	210	141	95	26	0	0	0
1320	252	216	145	100	30	0	0	0
1335	258	221	150	104	35	0	0	0
1350	264	227	155	109	39	0	0	0
1365	269	233	159	113	43	0	0	0
1380	275	239	164	118	48	0	0	0
1395	281	244	169	122	52	0	0	0
1410	287	250	174	127	56	0	0	0
1425	292	256	179	132	61	0	0	0
1440	298	262	184	136	65	0	0	0
1455	304	268	189	141	69	0	0	0
1470	310	273	194	145	74	0	0	0
1485	316	279	200	150	78	13	0	0
1500	322	285	205	154	82	24	0	0
1515	328	291	210	160	87	28	0	0
1530	334	297	215	165	91	32	0	0
1545	340	303	220	170	95	36	0	0
1560	346	309	225	176	100	41	0	0
1575	352	315	231	181	104	45	0	0
1590	358	321	236	186	108	49	0	0
1605	364	327	242	192	113	53	0	0
1620	370	333	248	197	117	57	0	0
1635	376	338	253	202	121	61	0	0
1650	382	345	259	208	126	66	0	0
1665	388	352	265	213	130	70	0	0
1680	394	358	270	219	134	74	0	0
1695	400	365	276	224	139	78	13	0
1710	406	372	282	230	143	82	21	0
1725	412	378	288	235	147	86	30	0
1740	418	385	294	241	152	91	34	0
1755	424	392	299	246	156	95	38	0
1770	430	399	305	252	161	99	42	0
1785	436	406	311	257	166	103	46	0
1800	442	413	317	263	171	107	50	0
1815	448	419	323	269	175	111	54	0
1830	454	426	329	274	180	116	58	13
1845	460	433	335	280	185	120	62	21
1860	466	440	341	286	190	124	66	25
1875	472	447	347	292	195	128	70	29
1890	478	454	353	298	200	132	74	33
1905	484	461	359	304	205	136	78	37
1920	490	468	365	311	210	140	82	41
1935	496	475	371	317	216	145	86	45
1950	502	482	377	323	221	149	90	48
1965	No HA	489	383	330	226	153	94	53
1980	No HA	496	390	336	231	157	98	57
1995	No HA	503	396	343	236	161	102	61
2010	No HA	510	402	349	241	165	106	65
2025	No HA	517	408	356	246	170	110	69

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2040	No HA	524	414	362	252	174	114	73
2055	No HA	531	421	369	257	178	118	77
2070	No HA	538	427	376	263	183	122	80
2085	No HA	545	433	382	269	188	126	84
2100	No HA	552	440	389	275	193	130	88
2115	No HA	559	446	396	280	198	134	92
2130	No HA	566	452	403	286	202	138	96
2145	No HA	573	459	410	292	207	142	100
2160	No HA	580	465	416	298	212	146	104
2175	No HA	587	472	423	303	217	150	108
2190	No HA	594	478	430	309	222	154	112
2205	No HA	601	485	437	315	227	158	116
2220	No HA	608	491	444	321	232	162	119
2235	No HA	615	498	451	327	237	166	124
2250	No HA	622	504	458	333	242	170	128
2265	No HA	629	511	465	339	247	174	132
2280	No HA	636	517	472	345	252	178	136
2295	No HA	643	524	479	351	257	182	140
2310	No HA	650	531	487	357	262	186	143
2325	No HA	657	537	494	363	268	191	147
2340	No HA	664	544	501	369	274	195	151
2355	No HA	671	551	508	375	279	199	154
2370	No HA	678	558	516	382	285	204	159
2385	No HA	685	564	523	388	291	208	163
2400	No HA	692	571	530	394	297	213	167
2415	No HA	699	578	538	400	303	217	171
2430	No HA	706	585	545	407	308	222	175
2445	No HA	713	592	553	413	314	226	179
2460	No HA	720	599	560	419	320	230	183
2475	No HA	727	605	568	425	326	235	187
2490	No HA	734	612	575	432	332	239	191
2505	No HA	741	619	583	438	338	244	194
2520	No HA	748	626	590	445	344	249	198
2535	No HA	755	633	598	451	350	253	203
2550	No HA	762	640	606	457	356	259	207
2565	No HA	769	647	613	464	362	264	212
2580	No HA	No HA	654	621	470	369	270	217
2595	No HA	No HA	661	629	477	375	276	221
2610	No HA	No HA	668	637	483	381	282	226
2625	No HA	No HA	675	644	490	387	287	230
2640	No HA	No HA	682	652	497	393	293	234
2655	No HA	No HA	689	660	503	400	299	239
2670	No HA	No HA	696	668	510	406	305	244
2685	No HA	No HA	703	676	517	412	311	249
2700	No HA	No HA	710	684	523	418	317	254
2715	No HA	No HA	717	692	530	425	323	258
2730	No HA	No HA	724	700	537	431	329	263
2745	No HA	No HA	731	708	543	438	335	268
2760	No HA	No HA	738	716	550	444	341	273

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2775	No HA	No HA	745	724	557	451	347	276
2790	No HA	No HA	752	732	564	457	353	282
2805	No HA	No HA	759	740	571	464	359	288
2820	No HA	No HA	766	748	578	470	365	294
2835	No HA	No HA	773	756	585	477	372	300
2850	No HA	No HA	780	764	591	483	378	306
2865	No HA	No HA	787	772	598	490	384	312
2880	No HA	No HA	794	780	605	496	390	318
2895	No HA	No HA	801	788	612	503	397	324
2910	No HA	No HA	808	796	619	510	403	328
2925	No HA	No HA	815	804	626	517	409	335
2940	No HA	No HA	822	812	634	523	416	342
2955	No HA	No HA	829	820	641	530	422	348
2970	No HA	No HA	836	828	648	537	429	354
2985	No HA	No HA	843	836	655	544	435	360
3000	No HA	No HA	850	844	662	551	442	366
3015	No HA	No HA	857	852	669	557	448	372
3030	No HA	No HA	864	860	676	564	455	379
3045	No HA	No HA	871	868	684	571	461	385
3060	No HA	No HA	878	876	691	578	468	390
3075	No HA	No HA	885	884	698	585	474	397
3090	No HA	No HA	892	892	706	592	481	404
3105	No HA	No HA	899	900	713	599	488	410
3120	No HA	No HA	906	908	720	606	495	416
3135	No HA	No HA	913	916	728	613	501	423
3150	No HA	No HA	920	924	735	621	508	429
3165	No HA	No HA	927	932	743	628	515	435
3180	No HA	No HA	934	940	750	635	522	442
3195	No HA	No HA	941	948	758	642	529	447
3210	No HA	No HA	948	956	765	649	535	454
3225	No HA	No HA	955	964	773	656	542	462
3240	No HA	No HA	962	972	780	664	549	468
3255	No HA	No HA	969	980	788	671	556	475
3270	No HA	No HA	976	988	795	678	563	481
3285	No HA	No HA	983	996	803	686	570	488
3300	No HA	No HA	990	1004	811	693	577	495
3315	No HA	No HA	997	1012	818	700	584	501
3330	No HA	No HA	1004	1020	826	708	592	507
3345	No HA	No HA	1011	1028	834	715	599	514
3360	No HA	No HA	No HA	1036	842	723	606	522
3375	No HA	No HA	No HA	1044	850	730	613	528
3390	No HA	No HA	No HA	1052	858	738	620	535
3405	No HA	No HA	No HA	1060	866	745	627	542
3420	No HA	No HA	No HA	1068	874	753	635	549
3435	No HA	No HA	No HA	1076	882	760	642	556
3450	No HA	No HA	No HA	1084	890	768	649	563
3465	No HA	No HA	No HA	1092	898	776	657	568
3480	No HA	No HA	No HA	1100	906	783	664	576
3495	No HA	No HA	No HA	1108	914	791	672	584

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3510	No HA	No HA	No HA	1116	922	799	679	591
3525	No HA	No HA	No HA	1124	930	807	686	598
3540	No HA	No HA	No HA	1132	938	814	694	605
3555	No HA	No HA	No HA	1140	946	822	701	612
3570	No HA	No HA	No HA	1148	954	830	709	619
3585	No HA	No HA	No HA	1156	962	838	717	627
3600	No HA	No HA	No HA	1164	970	846	724	634
3615	No HA	No HA	No HA	1172	978	854	732	640
3630	No HA	No HA	No HA	1180	986	862	739	648
3645	No HA	No HA	No HA	No HA	994	870	747	656
3660	No HA	No HA	No HA	No HA	1002	878	755	663
3675	No HA	No HA	No HA	No HA	1010	886	763	670
3690	No HA	No HA	No HA	No HA	1018	894	770	678
3705	No HA	No HA	No HA	No HA	1026	902	778	685
3720	No HA	No HA	No HA	No HA	1034	910	786	693
3735	No HA	No HA	No HA	No HA	1042	918	794	700
3750	No HA	No HA	No HA	No HA	1050	926	802	706
3765	No HA	No HA	No HA	No HA	1058	934	810	715
3780	No HA	No HA	No HA	No HA	1066	942	818	723
3795	No HA	No HA	No HA	No HA	1074	950	826	730
3810	No HA	No HA	No HA	No HA	1082	958	834	738
3825	No HA	No HA	No HA	No HA	1090	966	842	745
3840	No HA	No HA	No HA	No HA	1098	974	850	753
3855	No HA	No HA	No HA	No HA	1106	982	858	761
3870	No HA	No HA	No HA	No HA	1114	990	866	768
3885	No HA	No HA	No HA	No HA	1122	998	874	774
3900	No HA	No HA	No HA	No HA	1130	1006	882	783
3915	No HA	No HA	No HA	No HA	1138	1014	890	792
3930	No HA	No HA	No HA	No HA	1146	1022	899	799
3945	No HA	No HA	No HA	No HA	1154	1030	907	807
3960	No HA	No HA	No HA	No HA	1162	1038	915	815
3975	No HA	No HA	No HA	No HA	1170	1046	923	823
3990	No HA	No HA	No HA	No HA	1178	1054	932	831
4005	No HA	No HA	No HA	No HA	1186	1062	940	839
4020	No HA	No HA	No HA	No HA	1194	1070	948	845
4035	No HA	No HA	No HA	No HA	1202	1078	957	854
4050	No HA	No HA	No HA	No HA	1210	1086	965	863
4065	No HA	No HA	No HA	No HA	1218	1094	974	871
4080	No HA	No HA	No HA	No HA	1226	1102	982	879
4095	No HA	No HA	No HA	No HA	1234	1110	990	887
4110	No HA	No HA	No HA	No HA	1242	1118	998	895
4125	No HA	No HA	No HA	No HA	1250	1126	1006	903
4140	No HA	No HA	No HA	No HA	1258	1134	1014	912
4155	No HA	No HA	No HA	No HA	1266	1142	1022	920
4170	No HA	No HA	No HA	No HA	1274	1150	1030	927
4185	No HA	No HA	No HA	No HA	1282	1158	1038	936
4200	No HA	No HA	No HA	No HA	1290	1166	1046	945
4215	No HA	No HA	No HA	No HA	1298	1174	1054	953
4230	No HA	No HA	No HA	No HA	1306	1182	1062	961

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4245	No HA	No HA	No HA	No HA	1314	1190	1070	970
4260	No HA	No HA	No HA	No HA	1322	1198	1078	978
4275	No HA	No HA	No HA	No HA	1330	1206	1086	986
4290	No HA	No HA	No HA	No HA	1338	1214	1094	995
4305	No HA	No HA	No HA	No HA	1346	1222	1102	1003
4320	No HA	No HA	No HA	No HA	1354	1230	1110	1012
4335	No HA	No HA	No HA	No HA	1362	1238	1118	1020
4350	No HA	No HA	No HA	No HA	1370	1246	1126	1029
4365	No HA	No HA	No HA	No HA	1378	1254	1134	1038
4380	No HA	No HA	No HA	No HA	No HA	1262	1142	1046
4395	No HA	No HA	No HA	No HA	No HA	1270	1150	1055
4410	No HA	No HA	No HA	No HA	No HA	1278	1158	1064
4425	No HA	No HA	No HA	No HA	No HA	1286	1166	1073
4440	No HA	No HA	No HA	No HA	No HA	1294	1174	1082
4455	No HA	No HA	No HA	No HA	No HA	1302	1182	1091
4470	No HA	No HA	No HA	No HA	No HA	1310	1190	1100
4485	No HA	No HA	No HA	No HA	No HA	1318	1198	1109
4500	No HA	No HA	No HA	No HA	No HA	1326	1206	1118
4515	No HA	No HA	No HA	No HA	No HA	1334	1214	1127
4530	No HA	No HA	No HA	No HA	No HA	1342	1222	1136
4545	No HA	No HA	No HA	No HA	No HA	1350	1230	1145
4560	No HA	No HA	No HA	No HA	No HA	1358	1238	1154
4575	No HA	No HA	No HA	No HA	No HA	1366	1246	1163
4590	No HA	No HA	No HA	No HA	No HA	1374	1254	1172
4605	No HA	No HA	No HA	No HA	No HA	1382	1262	1181
4620	No HA	No HA	No HA	No HA	No HA	1390	1270	1190
4635	No HA	No HA	No HA	No HA	No HA	1398	1278	1199
4650	No HA	No HA	No HA	No HA	No HA	1406	1286	1208
4665	No HA	No HA	No HA	No HA	No HA	1414	1294	1217
4680	No HA	No HA	No HA	No HA	No HA	1422	1302	1226
4695	No HA	No HA	No HA	No HA	No HA	1430	1310	1235
4710	No HA	No HA	No HA	No HA	No HA	1438	1318	1244
4725	No HA	No HA	No HA	No HA	No HA	1446	1326	1253
4740	No HA	No HA	No HA	No HA	No HA	1454	1334	1262
4755	No HA	No HA	No HA	No HA	No HA	1462	1342	1271
4770	No HA	No HA	No HA	No HA	No HA	1470	1350	1280
4785	No HA	No HA	No HA	No HA	No HA	1478	1358	1289
4800	No HA	No HA	No HA	No HA	No HA	1486	1366	1298
4815	No HA	No HA	No HA	No HA	No HA	1494	1374	1307
4830	No HA	No HA	No HA	No HA	No HA	1502	1382	1316
4845	No HA	No HA	No HA	No HA	No HA	1510	1390	1325
4860	No HA	No HA	No HA	No HA	No HA	1518	1398	1334
4875	No HA	No HA	No HA	No HA	No HA	No HA	1406	1343
4890	No HA	No HA	No HA	No HA	No HA	No HA	1414	1352
4905	No HA	No HA	No HA	No HA	No HA	No HA	1422	1361
4920	No HA	No HA	No HA	No HA	No HA	No HA	1430	1370
4935	No HA	No HA	No HA	No HA	No HA	No HA	1438	1379
4950	No HA	No HA	No HA	No HA	No HA	No HA	1446	1388
4965	No HA	No HA	No HA	No HA	No HA	No HA	1454	1397

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4980	No HA	No HA	No HA	No HA	No HA	No HA	1462	1406
4995	No HA	No HA	No HA	No HA	No HA	No HA	1470	1415
5010	No HA	No HA	No HA	No HA	No HA	No HA	1478	1424
5025	No HA	No HA	No HA	No HA	No HA	No HA	1486	1433
5040	No HA	No HA	No HA	No HA	No HA	No HA	1494	1442
5055	No HA	No HA	No HA	No HA	No HA	No HA	1502	1451
5070	No HA	No HA	No HA	No HA	No HA	No HA	1510	1460
5085	No HA	No HA	No HA	No HA	No HA	No HA	1518	1469
5100	No HA	No HA	No HA	No HA	No HA	No HA	1526	1478
5115	No HA	No HA	No HA	No HA	No HA	No HA	1534	1487
5130	No HA	No HA	No HA	No HA	No HA	No HA	1542	1496
5145	No HA	No HA	No HA	No HA	No HA	No HA	1550	1505
5160	No HA	No HA	No HA	No HA	No HA	No HA	1558	1514
5175	No HA	No HA	No HA	No HA	No HA	No HA	1566	1523
5190	No HA	No HA	No HA	No HA	No HA	No HA	1574	1532
5205	No HA	No HA	No HA	No HA	No HA	No HA	1582	1541
5220	No HA	No HA	No HA	No HA	No HA	No HA	1590	1550
5235	No HA	No HA	No HA	No HA	No HA	No HA	1598	1559
5250	No HA	No HA	No HA	No HA	No HA	No HA	1606	1568
5265	No HA	No HA	No HA	No HA	No HA	No HA	1614	1577
5280	No HA	No HA	No HA	No HA	No HA	No HA	1622	1586
5295	No HA	No HA	No HA	No HA	No HA	No HA	1630	1595
5310	No HA	No HA	No HA	No HA	No HA	No HA	1638	1604
5325	No HA	No HA	No HA	No HA	No HA	No HA	1646	1613
5340	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1622
5355	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1631
5370	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1640
5385	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1649
5400	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1658
5415	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1667
5430	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1676
5445	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1685
5460	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1694
5475	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1703
5490	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1712
5505	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1721
5520	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1730
5535	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1739
5550	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1748
5565	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1757
5580	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1766
5595	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1775
5609	No HA	No HA	No HA	No HA	No HA	No HA	No HA	1784

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Appendix 2. Reasonable rent for judging individual and family social assistance in Helsinki, internal municipal non-binding guidelines, 1997-2014 for standard rentals

Persons in household	Rent , EUR* / month																	
	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
1	381	381	381	437	490	490	520	520	520	520	520	560	560	600	620	650	650	650
2	553	553	553	589	600	600	600	600	600	600	600	665	665	700	740	770	770	770
3	673	673	673	706	710	710	710	710	710	710	710	800	800	810	850	895	895	895
4	757	757	757	774	820	820	820	820	820	820	820	910	910	920	1010	1035	1035	1035
5	883	883	883	900	900	900	900	900	900	900	900	1100	1100	1100	1200	1225	1225	1225
6	967	967	967	984	990	990	990	990	990	990	990	1200	1200	1200	1320	1345	1345	1345
7	1051	1051	1051	1068	1100	1100	1100	1100	1100	1100	1100	1300	1300	1300	1430	1460	1460	1460
8	1135	1135	1135	1152	1200	1200	1200	1200	1200	1200	1200	1400	1400	1400	1540	1570	1570	1570

In addition to these amounts reasonable utility charges (e.g. water), household electricity and home insurance will be covered separately as deemed necessary.

Before 2002, 1 Euro=5.94573 FIM